

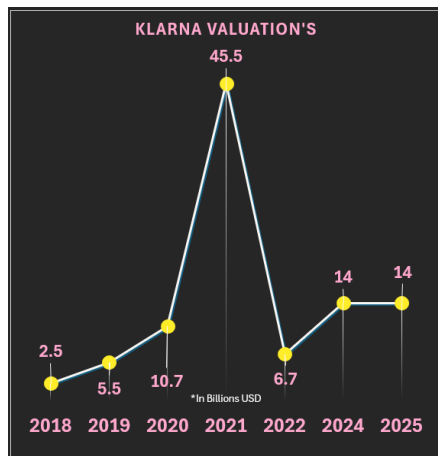
Klarna IPO:

The Buy Now Pay Later Giant Gamble

Sector: Fintech/Financial Services
Ticker: KLAR
List Price: \$40

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Klarna.



Key Figures	
Current Ratio	1.07
Cash Ratio	0.32
Share Price	\$45.89
OP Margin	70.30%
Profit Margin	70.30%
Net Income	9 Mil



Purpose

This report aims to provide a balanced overview of Klarna's business model, some speculative remarks, as well as risks, to help potential investors make an informed decision about the company as it embarks on its journey as a publicly traded entity.

An Introduction to the Klarna IPO

Klarna, a large Buy Now, Pay Later (BNPL) platform headquartered in Sweden, was founded in 2005 and has since positioned itself at the intersection of consumer credit and e-commerce. Klarna PLC, the company that operates as the parent of Klarna Bank AB, a Swedish LLC subsidiary that holds a banking license, issues debt instruments, and manages non-US consumer deposits. This unique structure provides Klarna with a significant strategic advantage, allowing it to fund approximately 94% of its BNPL activities at a cost of debt around 2.9%, a much lower rate compared to the roughly 4.2% LIBOR in Europe in 2024. This efficient funding model is a key asset as the company settles into its IPO.

Initially valued at \$45.6 billion in 2021, before global interest rate increases in 2022 reduced the valuation to \$6.7 billion, Klarna has an estimated current market share of between 5% and 6% in US markets, trailing its local competitor, Affirm, at approximately 13% in 2024. Outside of individual shareholders, Klarna aims to offer 5,555,556 ordinary shares with an expected market sell price between \$35 and \$40, setting its current valuation at \$14 billion. It is assumed that the IPO's primary purpose is to strengthen the company's financial position, provide capital for its ambitious global expansion, and allow early investors to exit a portion of their holdings.

How Klarna BNPL Works

- Klarna pays merchants the full amount upfront, with reserves and/or short-term liability, assuming all credit and fraud risk, regardless of subsequent customer payment performance. Klarna also charges a merchant fee based on the total transaction cost, adjusting for volume deals and product discounts, usually costing merchants between 3.29% and 4.29% plus \$0.30 to \$0.43 per transaction.
- Klarna then collects from customers according to their predetermined, algorithmically allotted payment plan.
- Risk management is performed via soft credit checks and proprietary algorithms to assess each customer's eligibility and spending limit.

Klarna's need for funding stems from several key areas

Covering Losses

The company has yet to achieve sustained annual profitability, as evidenced by its recent Q2 2025 results, which showed a return to net losses. The IPO proceeds are crucial for strengthening its balance sheet as it continues its aggressive growth strategy.

Business Expansion

The capital will fuel the ongoing expansion of its core BNPL services and support the diversification of its financial products, including its debit card and longer-term loan offerings, particularly in the massive U.S. market.

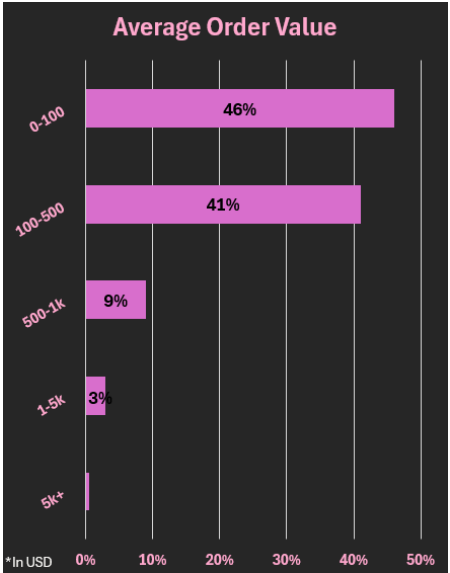
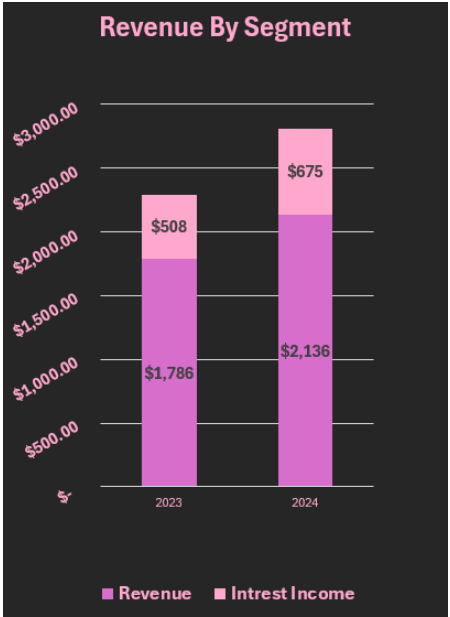
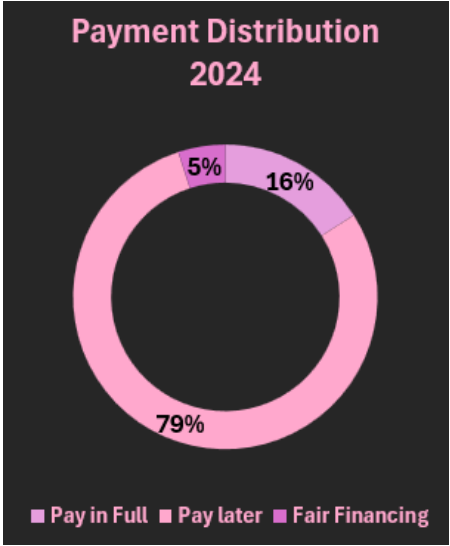
Liquidity and Credit Strength

The funds will enhance Klarna's liquidity and reduce its dependence on credit facilities, making it more resilient as a public company in a volatile market.

Competitive Positioning

The proceeds will support key investments in technology, risk management, and marketing to maintain its competitive edge against rivals like Affirm, Payment Processing, and PayPal. In the European market, Klarna's aggressive growth strategy enabled it to outpace its competitors, with 80% merchant adoption in its home country of Sweden, where 47.2% of Swedish stores invoiced through Klarna.

Company Overview



Klarna's BNPL Business Model

Klarna's BNPL platform provides a range of core features for consumers. Pay in full a one-time payment, making up (16%). Pay Later gives the consumer the option of 4 payments in 2-week increments or once in 30 days (79%). Fair Financing offers longer-term financing over 6 to 24 months, with annual percentage rates that can range from 0 to about 35% based on credit risk (5%).

Revenue Sources

Klarna recognizes two revenue segments: transaction and service revenue, as well as interest income. The first, making up the majority, is mostly provided by merchant fees. And Interest income is interest on Fair Financing Loans.

Transaction and service revenue

Klarna's revenue generation structure is mainly comprised of a percentage of the whole-item transaction value paid on the sale by the merchants. This value is inclusive of merchant fees, interchange revenue, and fees for settling disputes. The pricing is a combination of value-based and fixed pricing, charged either ad valorem, fixed fees on each transaction, or a mix of both, depending primarily on the merchant vertical.

Advertising Revenue earned by search solutions, as well as affiliate and brand ads placed on the Klarna Shopping and payment app. Consumer Service Revenue typically consists of customer fees, which are penalties applied when a consumer does not pay on time, and incentives for prompt payment.

Advantages of Klarna for Merchants

Klarna provides merchants with significant financial and operational advantages. By offering flexible payment options like BNPL, it helps to increase conversion rates and the average order value AOV. Merchants benefit from improved cash flow as they receive the full payment upfront, while also reducing their risk of credit fraud and inventory risk. The platform is easy to integrate with existing e-commerce systems and helps attract a younger demographic of consumers. Additionally, Klarna offers marketing tools and valuable data insights to help merchants grow their business.

Dynamic AI Underwriting

Klarna's underwriting model is a dynamic system built for sustainable, consumer-first lending, setting it apart from traditional underwriting processes used by credit card companies. This process is defined by several key principles. For every single transaction, Klarna makes a new real-time underwriting and fraud assessment by combining real-time consumer data, including credit bureau information, internal insights, and open banking data. New consumers start with a small spending limit that gradually increases based on their repayment history, and accounts are frozen if payments are missed. The model also provides clear, short-term repayment terms and prevents cash withdrawals to promote financial responsibility.

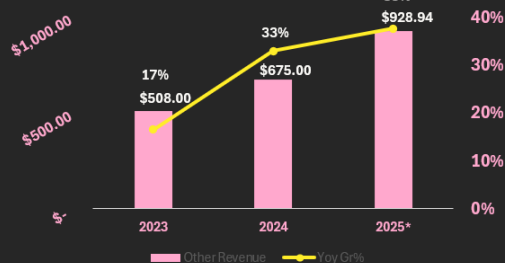
AI Models

The Gini coefficient measures a credit model's predictive power on a scale from 0 to 1, with a higher score indicating greater accuracy. In contrast, VantageScore is a credit scoring model widely used by lenders in the United States. Klarna's credit models have shown significant improvement, with its Gini score in the U.S. rising from 0.36 in 2019 to 0.72 in the first half of 2024. This demonstrates that Klarna's internal model is over twice as effective at predicting risk as a traditional credit bureau model like VantageScore 4.0, which had a Gini score of 0.35 in the same period.

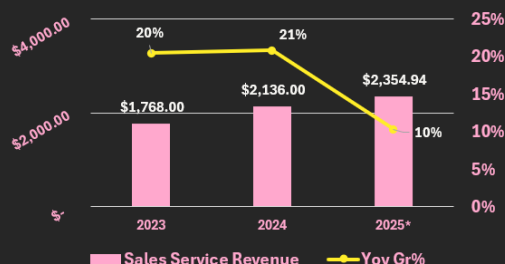
This high predictive performance allows Klarna to responsibly extend credit to a diverse customer base, from subprime to super prime. In 2024, the loan-weighted average credit score in the U.S. and U.K. qualified as near-prime and prime, respectively. The company's geographical diversification also strengthens its underwriting model, with Germany and the U.S. representing 31% and 24% of its GMV in 2024.

Financials

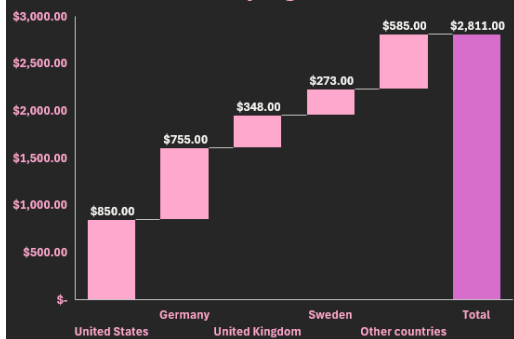
Other Revenue Growth



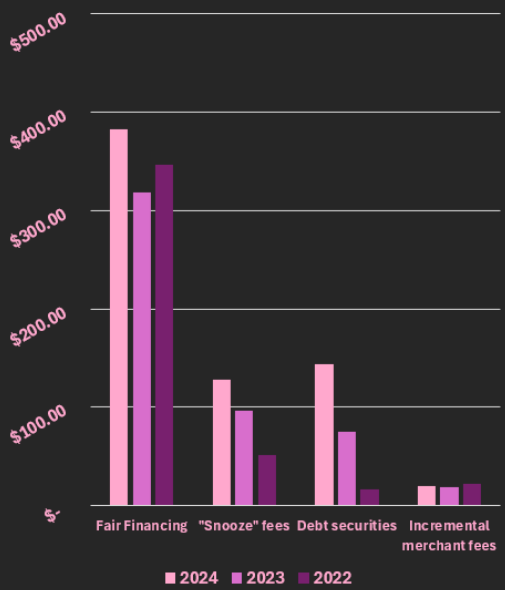
Sales Service Revenue Growth



Revenue by Region 2024



Intrest Income Breakdown



Introduction

As we delve into Klarna's financials, we will discuss both the positive indicators and the significant challenges. We have also developed a financial forecast through the end of 2025. Given the limited historical data and the potential impact of the upcoming IPO, it would be imprudent to project any further. The influence of the IPO is discussed in detail within our liquidity section and subsequently revisited in the risk portion of this report.

Strong Revenue Growth

Klarna has historically demonstrated the strong revenue growth typical of a growth-oriented company. However, while a Compound Annual Growth Rate (CAGR) of 13% for the period is impressive, a closer look at the 2025 forecast reveals a potential shift. The projection for the second half of 2025 shows an approximately 4% dip in End-of-Year revenue, a significant slowdown. We believe this is a result of increasing competition in the market. Interestingly, this dip coincides with a major change in revenue mix a decline in services income is being offset by a substantial increase in interest income. This suggests that Klarna is effectively expanding its share of the total addressable market (TAM), especially within the United States and other international markets, which could lead to an uptick in revenue and a stronger financial position in the long run.

Interest Income Drivers

Klarna's revenue growth is now primarily driven by its interest income stream, which is showing a strong uptick. An analysis of this segment reveals that snooze fees and revenue from debt securities are the main growth drivers, with snooze fees increasing by 88% year-over-year in 2023 and 33% year-over-year in 2024, and debt securities rising by 369% and 92% during the same periods. These new revenue initiatives represent a significant shift from Klarna's traditional merchant-based model, which typically has smaller margins. This strategic move could lead to a substantial increase in retained earnings in the future, as the company captures more of the total addressable market (TAM).

Geographic diversification

Upon analyzing revenue by region, we found that nearly two-thirds is generated in the United States and Germany. While funding for European operations is primarily supported by deposits, the significant share of revenue from the U.S. market has led to a substantial increase in short-term (ST) liabilities. This suggests that Klarna is relying more on alternative funding sources to support its rapid growth in the United States, which is a key market for its expansion.

Clear Path to Profitability

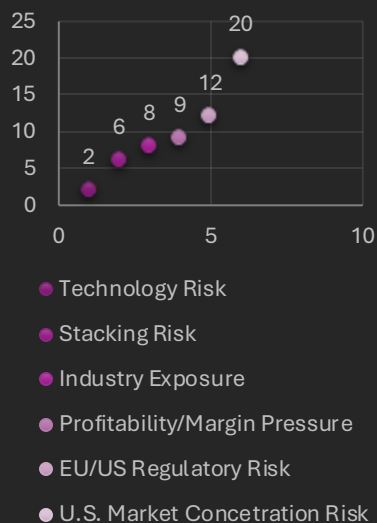
Based on the financial statement you provided, Klarna's operational performance has significantly improved. The company successfully reduced its operating loss from -\$384M in 2022 to -\$1,165M in 2023. This positive trend indicates that Klarna is effectively managing its operating expenses and moving toward greater financial efficiency. The most significant achievement, however, is the company's move to a positive net income, which turned profitable in 9M 2024. This is a crucial milestone that signals a successful shift from a growth-at-all-costs model to one focused on sustainable profitability.

Liquidity

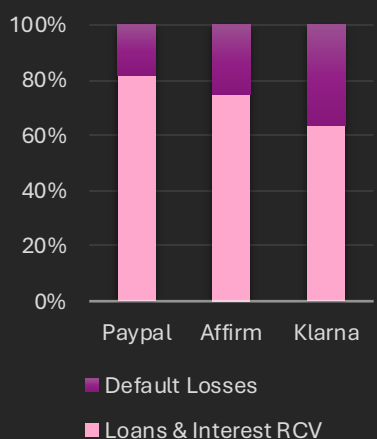
Klarna's short-duration loan portfolio suggests a strong position to manage its cash flow, with a current ratio of 1.07 reflecting an acceptable level of liquidity. However, a deeper look at the company's financial health reveals a potential area of concern. The cash ratio, which excludes accounts receivable and focuses on the most liquid assets, stands at 0.37. This is below the widely accepted healthy benchmark of 0.5 to 1.0. Given that Klarna's business model relies on the consistent collection of its loan portfolio, a significant downturn or increase in uncollectable loans due to poor economic conditions could strain its liquidity and raise concerns about its solvency and ability to weather poor economic conditions.

Risks

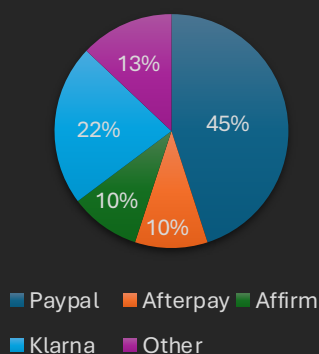
Risk Impact



Credit Risk as Proportion of Loan Revenue



BNPL Consumer Participant Distribution, 2024



Default Risk & the Incentivization of Moral Hazard

The company's product targets and potentially promotes higher-risk lending practices in environments that are qualitatively volatile. By assuming the inventory risk of their merchants, Klarna is exposed to significant risks associated with individual delinquents and mismanagement of funds. This is especially true in this created environment, in which the firm must absorb the higher risk of moral hazard without the standard risk-adjusted rates that would hedge stakeholders against these higher risk profiles.

Systemic Risk, Financial Contagion & High External Sensitivity

As a lender, Klarna is highly susceptible to shifts in global interest rates, and spreads could potentially be cannibalized by rate hikes in response to global emergency events, localized economic events, central bank decisions, changes in geopolitical standings, and a myriad of other external factors. The main real-world applicable evidence of this was their valuation drop from 2021 to 2022. With larger levers at play, Klarna is incredibly susceptible to market movement and banking volatility. By introducing the United States into its diversification, it takes on the risk of its market without yet having the foothold granted by economies of scale to build reserves or capitalize on its earnings power. Their exposure to these risks makes standard levels of economic and system volatility much more consequential for them.

Stacking Risk

A subset of delinquency risk, stacking risk is most clearly defined as adverse individual behavior in taking multiple BNPL loans out at once, eating into an individual's cash flows, and dramatically increasing an individual's default risk. The compounding nature of this risk is not to be understated, considered a core vulnerability consequential to the firm's lending model.

Data Collection & Privacy Regulation Adherence

As a company adherent to more stringent data collection regulations, like the EU's General Data Protection Regulation (GDPR), the inherent data collection screening at the core of Klarna's operations is a large risk in the form of compliance costs. With the company's thin margin, regulatory changes could be large shocks to the company's cash flows for months after implementation.

Technology Risk

The advancement of open-source AI tools threatens the technological moat Klarna uses to protect its market share. Klarna has poured resources into proprietary AI systems to improve customer experience, strengthen fraud detection, and deliver personalized shopping recommendations. The rapid democratization of AI through open-source frameworks like PyTorch, TensorFlow, Hugging Face, and advanced large language models now threatens to erode this edge. As these tools make sophisticated AI widely accessible, Klarna's differentiation—and thus a key pillar of its IPO growth story—faces material risk.

Mitigants

Aggressive Growth Strategy

Rather than focusing narrowly on profitability, the company has prioritized scale and market penetration, pouring capital into customer acquisition, subsidized merchant fees, and technology investments. This has helped Klarna secure millions of active users, deepen integration with major retailers, and extend its brand recognition.

Low Relative Cost of Expansion

Compared to its competitors, Klarna benefits greatly from its economies of scale. The firm's focus on digital-first operations allows it to scale into new markets with fewer physical infrastructure requirements and lower customer acquisition costs. The app-centric, 3rd party integration model doubles as both a reduction of carrying costs and low-cost advertising. This efficiency gives Klarna more operational flexibility in pursuing aggressive expansion and absorbing thinner margins, positioning it as a potentially more scalable BNPL provider.

Conclusion

This report has aimed to inform the reader about a portion of the current operations of Klarna as well as provide insight into the BNPL space, including the risks and advantages of this business model and how the competitive landscape affects some of Klarna's core operations. Currently, though we sifted through the IPO prospectus and approximately 12 quarters of the publicly available company reports for better company insights, information about any contingency, such as credit default swap notation, against failure due to systemic contagion, event risk, or any other scenario that would cause or precede mass default, we have found no such information at this time.

The goal was to provide a quick and balanced view of Klarna's current operations, lightly research any lending needs, observe, and give a report on some potential risks the company faces. We aim to better understand not only Klarna, but also the many systemic levers that affect lending rates from the central banks down to the level of the consumer. As students of economics and finance, we sift through oceans of information in search of relevant information to inform our investing decisions, and to contribute to this search for others is of great honor and importance to us.

Klarna's transition from its fraught liquidity marathon in the private sector into the secondary market and into the hands of a wider population of shareholders will position the company to address any liquidity shortfalls and afford the company another boost of expansionary market pressure. The improvement of the company's liquidity is a high priority with the release of this IPO, and the first few months of operating under this new structure and in this unconquered market will likely be a costly endeavor for the firm while it establishes itself as a competitor to Afterpay and Paypal in U.S. markets.

The unique ability of Klarna to subvert intrabank lending rates to increase profitability is one of the company's stronger intrinsic strengths, enabling low-cost funding and high dollar-for-dollar efficacy. Their low-cost advantage extends to their merchant partnerships, affording businesses competitive pricing for their hedge offering against credit risk. The company's aggressive growth strategy and willingness to operate at low margins affords Klarna a sharp edge against its competitors in the market for merchant storefront space. The funding from this IPO should allow the company to maximize its strengths, muted by the combination of low liquidity and default expense, giving space for the firm to establish foothold as a staple consumer credit lender.

The company's longer-term plans to diversify into a larger suite of credit offerings, like debit cards and its long-term 'Fair Financing' loans, can put investors at ease with the promise of decreasing and decentralizing its credit exposure. Klarna's exceptional amount of investment in research and development of its systems asserts that the company is not yet maximizing its profit potential. Its strong brand recognition and network effects only contribute to this perspective.

However, the risks and challenges presented by the company's history of unstable margins, credit exposures, high event and regulatory exposure are not inconsequential. The competitive pressures from Paypal and Afterpay in U.S. markets specifically may be viewed by some as high barriers to entry for the Swedish fintech.

Overall, from this short meta-analysis, we believe that the IPO represents both high growth potential and material downside, making outlooks for the firm highly dependent on risk appetite and time horizon.

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